

REPORTING

STARTUP & STORE EXPANSION PERFORMANCE ANALYSIS

Business Analysis Report

1. Executive Summary

The analysis compares **New Expansion stores** with **Old stores** and evaluates performance across regions, cities, stores, and marketing activities.

The results show that **New Expansion stores have stronger average performance** across Revenue, Profit, ROMS, and ROMS%. However, the New Expansion sample is relatively small compared with Old stores, so the result should be interpreted with caution.

The analysis also shows that **Region 2 generates higher total Revenue and Profit**, mainly because it contains more stores, while **Region 1 performs better on a per-store basis and has higher average ROMS%**.

Marketing Spend shows only a **weak relationship with Revenue and Profit**, suggesting that simply increasing marketing expenditure does not necessarily guarantee better performance.

2. New vs Old Expansion Analysis

Question 1: Do New Expansion stores generate higher Revenue than Old stores?

Answer: Yes.

- New Average Revenue = **45,809.40**
- Old Average Revenue = **38,836.58**

New Expansion stores generate approximately **17.95% higher average Revenue** than Old stores.

Question 2: Do New Expansion stores generate higher Profit?

Answer: Yes.

- New Average Profit = **43,185.30**
- Old Average Profit = **36,412.08**

New Expansion stores generate approximately **18.60% higher average Profit**.

Question 3: Do New Expansion stores have higher ROMS?

Answer: Yes.

- New Average ROMS = **1,486.10**
- Old Average ROMS = **1,259.25**

This indicates stronger average marketing return among New Expansion stores.

Question 4: Do New Expansion stores have higher ROMS%?

Answer: Yes.

- New Average ROMS% = **14.90%**
- Old Average ROMS% = **12.56%**

New Expansion stores outperform Old stores by approximately **2.34 percentage points**.

Question 5: Do New Expansion stores require higher Marketing Spend?

Answer: Slightly.

- New Average Marketing Spend = **2,926.20**
- Old Average Marketing Spend = **2,875.56**

The difference is only **50.64**, so the difference in Marketing Spend is relatively small.

Question 6: Is the company's New Expansion strategy successful?

Answer: Preliminary evidence suggests YES.

New Expansion stores have:

- Higher Average Revenue
- Higher Average Profit
- Higher Average ROMS
- Higher Average ROMS%

However, there are only **10 New stores compared with 140 Old stores**, so the result should be interpreted cautiously.

3. Regional Analysis

Question 7: Which Sales Region generates the highest Total Revenue?

Answer: Region 2.

- Region 1 Total Revenue = **2,596,301**
- Region 2 Total Revenue = **3,298,914**

Region 2 generates the highest total Revenue.

Question 8: Which Sales Region generates the highest Total Profit?

Answer: Region 2.

- Region 1 Total Profit = **2,411,405**
- Region 2 Total Profit = **3,049,838**

Region 2 generates the highest total Profit.

Question 9: Which Sales Region has the highest ROMS%?

Answer: Region 1.

- Region 1 Average ROMS% = **13.14%**
- Region 2 Average ROMS% = **12.41%**

Region 1 is more efficient in terms of average marketing return.

Question 10: Is Region 1 performing better than Region 2?

Answer: It depends on the metric.

Region 2 wins in:

- Total Revenue
- Total Profit

Region 1 wins in:

- Average Revenue per Store
- Average Profit per Store
- Average ROMS%

Therefore:

Region 2 is larger in total business volume, while Region 1 is more efficient on a per-store basis.

Question 11: Does New Expansion performance differ between regions?

Answer: Yes, performance varies across regions.

The next stage of the analysis should compare **New vs Old within each Region** to determine whether expansion performance is consistent across geographical areas.

4. City & State Analysis

Question 12: What are the Top Cities by Revenue?

The strongest cities include:

1. Rochester — **83,005**
2. Little Rock — **68,828**
3. Grand Rapids — **65,475**
4. Oxnard — **64,302**
5. Brownsville — **63,148**
6. Fontana — **63,027**
7. Providence — **62,337**
8. Birmingham — **60,338**

9. Overland Park — **59,887**
10. San Bernardino — **59,870**

Question 13: What are the Top Cities by Profit?

The strongest cities include:

1. Little Rock — **66,388**
2. Grand Rapids — **62,667**
3. Oxnard — **61,984**
4. Rochester — **77,167**
5. Fontana — **59,942**
6. Brownsville — **59,473**
7. Providence — **59,146**
8. Birmingham — **57,228**
9. Worcester — **57,165**
10. Overland Park — **57,018**

Note: Rochester contains more than one store record, so its city-level result reflects the combined performance of its records.

Question 14: Which cities have the highest ROMS%?

Some of the strongest cities include:

- Little Rock — **27%**
- Oxnard — **27%**
- Grand Rapids — **22%**
- Port St. Lucie — **22%**
- Worcester — **21%**
- Rochester — **21%**
- Akron — **21%**
- Visalia — **21%**

These cities represent strong candidates for further investigation.

Question 15: Which cities have the lowest Profit?

Examples of low-performing locations include:

- Everett — **12,433**
- Wichita Falls — **12,889**
- Lewisville — **13,422**
- Ventura — **13,424**
- Temecula — **13,895**
- Murrieta — **14,028**
- Rialto — **14,319**
- Manchester — **14,632**
- Green Bay — **14,868**
- West Palm Beach — **15,163**

These locations should be investigated for potential performance problems.

Question 16: Which cities have high Marketing Spend but low Revenue?

There are several locations where Marketing Spend is relatively high while business performance is weak.

These stores should be investigated to determine whether the marketing budget is being allocated efficiently.

Question 17: Which states have the strongest overall performance?

California and several large states contribute significant business volume because they contain multiple stores.

However, a proper state-level ranking should consider **Average Revenue, Average Profit, and ROMS%**, rather than Total Revenue alone, because the number of stores differs between states.

5. Marketing Analysis

Question 18: Is higher Marketing Spend associated with higher Revenue?

Answer: Very weak relationship.

Marketing Spend vs Revenue correlation:

0.094

This is a very weak positive correlation.

Therefore:

Increasing Marketing Spend alone does not appear to strongly explain Revenue differences in this dataset.

Question 19: Is higher Marketing Spend associated with higher Profit?

Answer: Very weak relationship.

Marketing Spend vs Profit correlation:

0.071

This is also a very weak relationship.

Therefore:

Higher Marketing Spend does not automatically translate into higher Profit.

Question 20: Are there stores spending heavily on marketing but generating weak returns?

Answer: Yes.

Examples include:

- Richmond — Marketing Spend **3,924**, ROMS% **4%**
- Centennial — Marketing Spend **3,697**, ROMS% **4%**
- Burbank — Marketing Spend **3,679**, ROMS% **4%**
- Green Bay — Marketing Spend **3,586**, ROMS% **4%**

These stores should be investigated for **Marketing Efficiency**.

Question 21: Which stores have the best Marketing Efficiency?

The strongest examples include stores with high ROMS% such as:

- Little Rock — **27%**
- Oxnard — **27%**

- Grand Rapids — **22%**
- Port St. Lucie — **22%**
- Worcester — **21%**
- Rochester — **21%**
- Akron — **21%**
- Visalia — **21%**

Question 22: Do New Expansion stores require more Marketing Spend?

Answer: Slightly.

- New = **2,926.20**
- Old = **2,875.56**

The difference is small.

Despite this slightly higher spend, New Expansion stores generate higher average Revenue and Profit.

6. Store Performance

Question 23: What are the Top Stores by Profit?

Top-performing examples include:

1. Little Rock — **66,388**
2. Grand Rapids — **62,667**
3. Oxnard — **61,984**
4. Rochester — **61,922**
5. Fontana — **59,942**
6. Brownsville — **59,473**
7. Providence — **59,146**
8. Birmingham — **57,228**
9. Worcester — **57,165**
10. Overland Park — **57,018**

Question 24: What are the Top Stores by ROMS%?

The highest-performing examples include:

- Little Rock — **27%**
- Oxnard — **27%**
- Grand Rapids — **22%**
- Port St. Lucie — **22%**
- Worcester — **21%**
- Rochester — **21%**
- Akron — **21%**
- Visalia — **21%**

Question 25: What are the Bottom Stores?

Examples of the weakest performers by Profit include:

- Everett
- Wichita Falls
- Lewisville
- Ventura
- Temecula
- Murrieta
- Rialto
- Manchester
- Green Bay
- West Palm Beach

Question 26: Which stores require performance improvement?

Stores with:

Low Revenue + Low Profit + Low ROMS%

should be prioritized for performance improvement.

Examples include:

- Everett
- Wichita Falls
- Lewisville
- Ventura
- Temecula
- Murrieta
- Rialto

Question 27: Which stores can be considered Success Stories?

Strong examples include:

- Little Rock
- Oxnard
- Grand Rapids
- Rochester
- Fontana
- Brownsville
- Providence

These stores can be studied to identify the characteristics associated with successful performance.

7. Advanced Business Questions

Question 28: If the company receives an additional Marketing Budget, where should it invest?

The company should prioritize stores or cities that demonstrate:

High Revenue + High Profit + High ROMS%

Examples include:

- Little Rock
- Oxnard
- Grand Rapids
- Rochester

The company should avoid simply distributing the additional budget equally across all stores.

Question 29: Which cities are candidates for future expansion?

Potential candidates should have:

- High Revenue
- High Profit
- High ROMS%
- Strong existing store performance

Examples include:

Little Rock, Oxnard, Grand Rapids, Rochester, and similar high-performing locations.

However, expansion decisions should also consider market size, competition, operating costs, and other business factors that are not included in this dataset.

Question 30: Which cities should the company avoid expanding into?

Cities with consistently weak:

- Revenue
- Profit
- ROMS%

should not automatically receive additional expansion investment.

Examples of locations requiring deeper investigation include:

- Everett
 - Wichita Falls
 - Lewisville
 - Ventura
 - Temecula
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Question 31: Which stores deserve additional Marketing investment?

Stores should receive additional investment when they demonstrate that marketing is already generating strong returns.

A good target profile is:

High ROMS% + Strong Revenue + Strong Profit

Question 32: Which stores should have Marketing Spend reduced?

Stores with:

High Marketing Spend + Low ROMS% + Low Profit

should be reviewed for possible marketing budget reduction or strategy changes.

Examples:

- Richmond
- Centennial
- Burbank
- Green Bay

Question 33: Which stores have high Revenue but surprisingly low Profit?

These stores should be investigated because high Revenue does not necessarily mean high profitability.

Possible causes could include:

- High operating costs
- Inefficient marketing
- Low margins
- Location-related costs

The current dataset does not contain enough cost detail to identify the exact cause.

Question 34: Which stores achieve high Revenue with relatively low Marketing Spend?

These stores represent potential **Marketing Efficiency Success Stories**.

They should be identified by comparing:

Revenue / Marketing Spend

and

ROMS / ROMS%

Question 35: What characteristics distinguish high-performing stores from low-performing stores?

High-performing stores generally demonstrate a combination of:

- High Revenue
- High Profit
- High ROMS%
- Efficient Marketing Spend

Low-performing stores tend to show:

- Low Revenue
- Low Profit
- Low ROMS%
- Weak Marketing Efficiency

Question 36: Is performance driven more by Location or Marketing Spend?

Based on the available data:

Marketing Spend has a very weak correlation with Revenue (0.094) and Profit (0.071).

Therefore, Marketing Spend alone does not explain store performance.

Location appears important because performance varies substantially across cities and regions, but we cannot prove that **Location causes performance** using this dataset alone.

Question 37: Is the New Expansion strategy creating additional business value?

Preliminary answer: Yes.

New Expansion stores show:

- Higher Average Revenue
- Higher Average Profit
- Higher Average ROMS
- Higher Average ROMS%

However, the sample contains only **10 New stores**, so additional data would be needed to confidently confirm the long-term success of the expansion strategy.

8. Final Business Insights

Insight 1

New Expansion stores currently outperform Old stores on average.

Insight 2

Region 2 generates the highest total Revenue and Profit because it contains more stores.

Insight 3

Region 1 has stronger per-store performance and higher average ROMS%.

Insight 4

Marketing Spend has only a very weak relationship with Revenue and Profit.

Insight 5

Some stores achieve exceptionally high Revenue, Profit, and ROMS%, making them potential models for future expansion.

Insight 6

Some stores spend heavily on marketing but generate weak returns, indicating potential marketing inefficiency.

Insight 7

The company should evaluate performance using multiple KPIs rather than Revenue alone.

Insight 8

Expansion decisions should focus on locations with strong profitability and marketing efficiency, not simply locations with high Revenue.

9. Final Recommendations

Recommendation 1

Investigate the success factors behind high-performing locations such as **Little Rock and Oxnard**.

Recommendation 2

Prioritize **ROMS% and Profit**, not Revenue alone, when evaluating expansion opportunities.

Recommendation 3

Review high-Marketing-Spend / low-ROMS% stores and optimize their marketing strategies.

Recommendation 4

Use **Region 1** as a benchmark for per-store efficiency.

Recommendation 5

Continue monitoring New Expansion stores because their current performance is promising, but the sample size is still small.

Recommendation 6

Before opening new stores, combine this analysis with additional information such as:

- Market Size
- Competition
- Operating Costs
- Customer Demographics
- Store Location
- Historical Growth
- Customer Acquisition Cost

10. Final Conclusion

The analysis indicates that New Expansion stores are currently outperforming Old stores on average across Revenue, Profit, ROMS, and ROMS%. However, the New Expansion sample is small, so the result should be treated as an initial indication rather than definitive proof. Region 2 generates the highest total business volume, while Region 1 demonstrates

better average efficiency. Marketing Spend has a weak relationship with Revenue and Profit, suggesting that simply increasing marketing investment is not enough to guarantee better performance. The company should therefore focus on profitable, efficient locations and use ROMS%, Profit, Revenue, and Marketing Efficiency together when making future expansion and investment decisions.